



Confidential Report to the Underwriting Department

One of the important functions and duties of the claims adjuster is to report to the underwriting department any information that might affect the desirability of the risk, or the adequacy of the premium rate.

Ordinarily, it is not the responsibility of the claim department to recommend the cancellation of a policy. There are many reasons why the underwriter may decide to retain the risk despite some undesirable features. It is the duty of the claim department to bring to the attention of the underwriting department any information that may aid them in arriving at a proper decision concerning the account.

The types and kinds of deficiencies that should be noted and brought to the underwriter's attention can be grouped into five categories.

1. Physical defects:

- A. Poor condition of automobile or buildings.
- B. Defects of equipment, such as brakes, broken headlights, defective mechanism on an automobile; defective machinery, etc.
- C. Improper equipment.
- D. Machinery safeguards not being used, or no safeguards provided.

2. Moral Hazards:

- A. Reputation of insured or driver with reference to speeding, reckless driving, or criminal background.
- B. Police record.
- C. Intoxication.
- D. Collusion.
- E. Fraudulent acts or false statements.
- F. Illegal operation of vehicles, elevators, machinery, or equipment.

3. Physical Infirmities - Discovery of physical infirmities which are manifest subsequent to the issuance of a driver's license, and/or the failure of a driver having a restrictive license to use required corrective devices; i.e.:

- A. Glasses required and not used for poor eyesight, or partial blindness.
- B. Insured or driver infirmed (physically incapable of driving safely).

4. Matters Affecting Premium:

- A. Undisclosed drivers.
- B. Unusual traveling distance.
- C. Principal location of garaging of automobiles.
- D. Operation.

5. Other Hazards:

- A. Accident frequency or excessive traffic violations.
- B. Poor training or attitude of drivers or employees.
- C. Improper vehicle used to transport employees.
- D. Gross negligence or wanton disregard involved in accident under investigation.
- E. Improper registration or no driver's license.
- F. Catastrophe hazard, such as transportation of butane gas, asphalt, or dynamite; fire trap, etc.
- G. Non-cooperation.
- H. Employment of minors.
- I. Occupational disease exposure.

Review Questions- Investigation



1.
 - A. In insurance accident cases, the company receives authority to investigate from what sources? (pg. 9)
 - B. Is the company obligated to investigate? (pg. 9)
 - C. What risk, if any, might the company assume if it chose not to investigate? (pg. 13)
2. Investigation covers three principal areas. Identify them and place them in the order of importance. (pg. 10)

3. An adjuster who has mastered the art of investigation technique will exhibit three qualities in his work. Identify them and give a brief explanation of why they are important. (pg. 18)
4. Why can't the adjuster rely upon the loss notice for accuracy of accident information? (pp. 9-10, 24-25)
5. The adjuster will soon learn to recognize those cases that represent danger and give them a high priority. Examine the information in the following five new cases that were on the adjuster's desk on Monday morning, March 15.

CASE ONE - Insured rounding curve lost control, turned over, was injured and car demolished, no other damage. Full coverage, 50 deductible, 1,000 medical pay, BI limits of 50/100.

CASE TWO - On March 10th, an employee jumped off the rear of a farm tractor to repair a plow and broke his foot. Employee liability limits: \$100,000.

CASE THREE - On March 13th, insured had a grease fire in the kitchen resulting in approximately \$1,000.00 damage. He has a Homeowners policy with \$40,000 dwelling coverage and additional living expense of \$8,000.

CASE FOUR - On March 10th, the insured was driving his Oldsmobile on Route 75. Smoke was blowing across the highway and he collided with a third-party vehicle. The insured and his wife are in the hospital. His car is a total loss. No reported injuries to the five occupants of the third party car. The insured has full coverage with liability limits of 50/100/10.

CASE FIVE - On March 14th, the insured ran into a third party car. The claimant was taken to the hospital complaining of a sore neck.

A. Which case would you give top priority to and why?

B. List the remaining cases in order of their priority.

C. Identify the possible claimants in each of the above five cases.

D. In each of the three liability cases, indicate what possible theories the plaintiff might advance to win his/her case.

E. For each liability case, what possible theories of defense could be advanced by the defendant?

6. Accident investigations are conducted by insurance companies for what two principal reasons. They are: (pp. 9-10)

7. List the five most important reasons for photographs, in your opinion: (pp. 29-30)

8. Art is insured with your company but has only physical damage and medical payments coverage. Art runs a yield right-of-way sign and broad sides Tom who makes a liability claim against Art.

A. Your first responsibility upon receipt of a new claim is to:
(pg. 10-11)

B. Will Tom be able to recover damages against Art's insurer.
Yes or No? Why?

9. A. The second step in every liability claim is to contact the claimant. True or False? Explain your reason. (pp. 22-23)

B. What is your first step?

10. A neighbor sends his employee over to your insured's farm to borrow a gas welding outfit. The next day you learn the neighbor's employee was seriously injured when the gas tank on the welding rig exploded. You have just received a loss notice. What crucial point should be taken care of in the investigation immediately? (pg. 39)
11. Your insured's son, age 15, invites a friend to spend the weekend. On Saturday the insured's son is performing some chores with the farm tractor. Throughout the day he and his friend operated the tractor alternately. Late in the afternoon when they had not returned the tractor was found turned up side down in a ditch with both boys pinned underneath. Both were instantly killed. You have just received the loss notice and coverage is in order. Outline the crucial points of investigation needed.
12. The insured took his automobile in to a local dealer for a warranty check and to have the wheel bearings packed. Returning home the left front wheel came off causing the insured to lose control and strike an oncoming vehicle.
- A. Outline what investigative steps you would take in this case to determine the presence or absence of negligence on your insured.
- B. Are there any subrogation possibilities?
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